

Article | 16 September 2026

FX RATES UNITED STATES

Federal Reserve hikes 25bp, suggests another to come

The Federal Reserve raised the policy rate 25bp and signalled they may raise rates a second time before a long hold throughout 2027.

Nonetheless, we see more labour slack than the Fed and remain a little more optimistic on the inflation backdrop. If we see a resumption of energy flows from the Persian Gulf, the situation would favour a "one and done" outcome



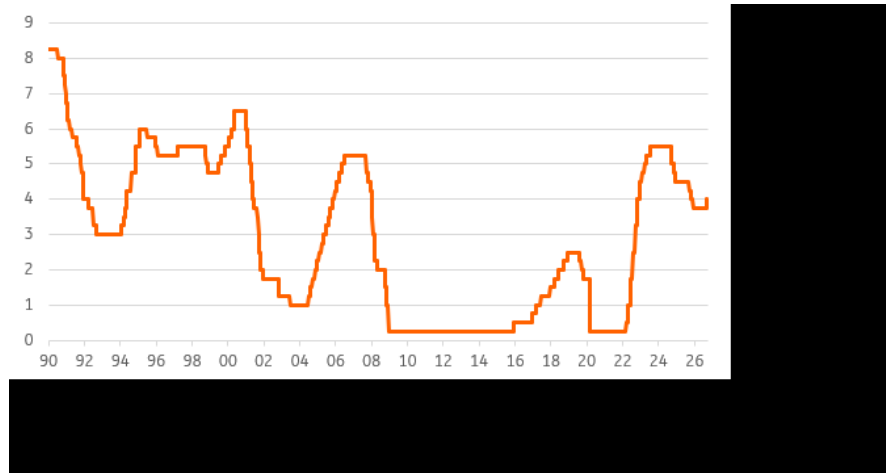
Fed Chair Warsh at today's press conference in which interest rates were raised by 25bp

Fed hike to "support a timelier return" of inflation to target

The Federal Reserve has hiked rates 25bp to a target range of 3.75–4%, as widely expected. Markets had moved to swiftly price such an outcome in the wake of Chair Kevin Warsh's hawkish Jackson Hole address, with subsequent hotter-than-anticipated jobs and core inflation data merely making it a formality.

The decision was unanimous and the press release was brief, as it has been after all three decisions under Warsh's leadership. Economic activity is "solid", but uncertainty and inflation remain "elevated". Nonetheless, today's decisions will "support a timelier return to the Committee's 2 percent goal".

Fed funds ceiling rate (%)



Source: Macrobond, ING

Fed points to one more hike followed by a long hold

In terms of the guidance, the central projection within the Fed's summary of economic projections has one more rate hike this year, in line with market pricing, with the central range holding at 4.125% through 2027. They then have the mid-point of the Fed's funds target range at 3.875% for 2028 and 3.625% for end-2029 and 3.25% for the "longer run". This is a higher profile range than they projected in June, but is below the market pricing of three additional 25bp hikes.

Federal Reserve's economic projections

	2026	2027	2028	2029	Longer run
Change in real GDP (4Q YoY%)	2.3	2.4	2.2	2.1	2.0
Previous Fed projection (June)	2.2	2.3	2.2	-	2.0
Unemployment rate (% year end)	4.1	4.1	4.1	4.1	4.2
Previous Fed projection (June)	4.3	4.3	4.2	-	4.2
Core PCE inflation (4Q YoY%)	3.4	2.5	2.2	2.0	2.0
Previous Fed projection (June)	3.3	2.5	2.1	-	-
Federal funds rate (year end)	4.125	4.125	3.875	3.625	3.25
Previous Fed projection (June)	3.8	3.6	3.4	-	3.1

Source: Federal Reserve, ING

Within the actual dot plot there are only 18 submissions, suggesting Kevin Warsh again declined to offer a view. Only 2 of the 18 FOMC submissions had no further rate hike this year, suggesting strong backing for another move, and similarly, there are only 4 of 18 that expect to see any sort of rate cut next year. There are 8 of 18 expecting the policy rate mid-point to be 4.375% (2 additional hikes) by end-2027. So this is a more hawkish Fed than in June with them revising up inflation and growth and revising lower unemployment projections despite

the data trends suggesting it should be the other way round - in our view.

Indeed, our growth, inflation and jobs forecasts suggest little need for further rate hikes, and it may well be that the Fed are striking a hawkish line in order to build more credibility with bond markets as they look to support Treasury efforts to anchor the long end of the curve.

One and done remains our call

Ordinarily the assumption is that if the Fed hikes, they don't move just once, and indeed their forecast table does have a further hike pencilled in. However, this time around we think it may end up being a one-off. While August's jobs number was a healthy 162,000, between January 2025 and July 2026 the monthly average increase was a measly 31k with hiring indicators suggesting a reversion to that far slower growth rate is likely. Furthermore, while the unemployment rate is low at just 4.1%, the worker participation rate has plunged a full percentage point since early 2025. This suggests there is worker disengagement and more slack in the jobs market than looking at the unemployment rate alone indicates. It is hard to argue against that when wage growth is running at just 3%.

That weak wage growth will be helpful in keeping inflation in check and with the inflationary impulse from tariffs largely incorporated – and IEEPA tariff refunds being a cash flow boost – lower cost pressures here help mitigate higher energy and fuel costs. Furthermore, the shelter component, with a 35% weighting in the CPI basket, should continue to moderate given the stagnant property market and cooling private sector rents. The key uncertainty is energy and the lack of progress surrounding oil and gas flows from the Strait of Hormuz, which has meant headline disinflation has stalled. Nonetheless, our geopolitical assessment is that the situation will improve, and oil prices will resume their declines later in the year, which will rapidly improve the inflation backdrop.

Given market and consumer inflation expectations remain in check, we see parallels with the late 1990s – cuts in early 1996 before a pause, then a one-off 'risk management' hike enacted by Alan Greenspan's Fed in March 1997 before a long pause through late 1998.

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

FX: Hawkish hike reinforces dollar momentum

The Fed's message of policy discipline is likely to raise the bar for de-basement trades to re-emerge anytime soon. That should limit downside risks for the dollar, leaving it better placed to benefit from supportive external drivers. As long as energy prices remain firm, we see little reason to fade the current USD appreciation trend.

With the door still open to additional tightening, the dollar also retains upside risk around upcoming data releases. Strong prints could bring hike expectations forward to October, where markets currently price 11bp.

EUR/USD broke below 1.150 after the announcement, and there is little in the way of obvious support before the 1.1330-1.1360 area, where the June decline found a floor. That is likely the extent of near-term downside risk. Our forecast remains more optimistic, albeit heavily reliant on an improvement in the Gulf situation and rapid oil decline by year-end. We target 1.150 for end-September and a modest bump to 1.160 by year-end.

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Article | 11 September 2026

JAPAN

Bank of Japan preview: 25bp hike incoming

The Bank of Japan meets on 18 September to set rates. A 25bp hike to 1.25% is widely expected, with the market close to pricing in a further 25bp hike by the end of the year. Money market rates have surged since June, raising the risk of a yen-negative reaction if the BoJ fails to confirm a more aggressive tightening cycle



Kazuo Ueda, Governor of the Bank of Japan

Why have rates moved so much?

The market's previous view on the BoJ tightening cycle had been that one 25bp hike would be delivered every six months. The terminal policy rate was always seen to be around 2.00%, but until recently investors expected the BoJ to take two years to get there.

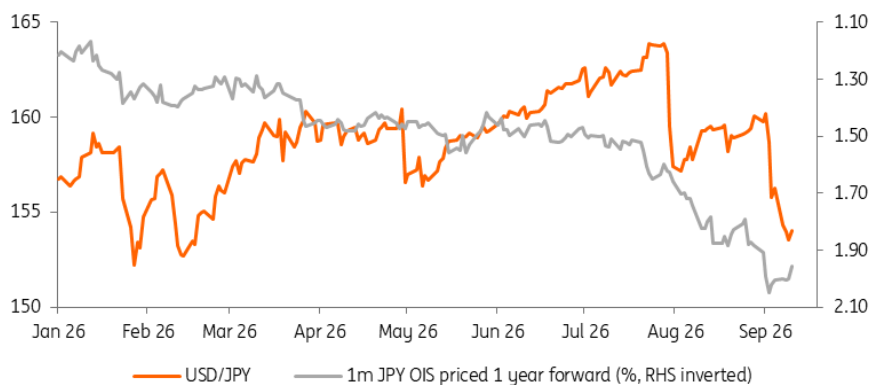
Since June, however, that pricing has shifted aggressively. One-month JPY OIS rates priced one year forward have risen a staggering 50bp since the start of July. What's changed?

It is hard to blame the renewed rise in energy prices for the re-pricing in money markets, since there was not a big re-pricing during the first surge in crude oil in March. Instead, it looks like the US Treasury's FX intervention in late July has played a significant role. Here, US Treasury

Secretary Scott Bessent has signalled that he expects the BoJ to raise rates at a quicker pace to provide macro support to the yen buying intervention.

Also helping the repricing has been local Japanese data. Real cash earnings rose by 2.4% year-on-year in July, reinforcing the narrative that producers will be able to pass on higher input costs.

Sharp repricing in short-dated rates weighs on USD/JPY



Source: Refinitiv, ING

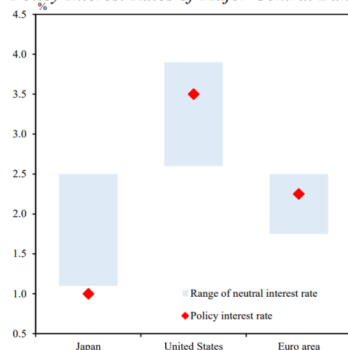
The BoJ's perspective

Formal communication from the BoJ this year has acknowledged that the real policy rate is negative and needs to be raised. Various BoJ speeches have discussed the concept of a neutral rate, which most see in the 1.1-2.5% range in nominal terms.

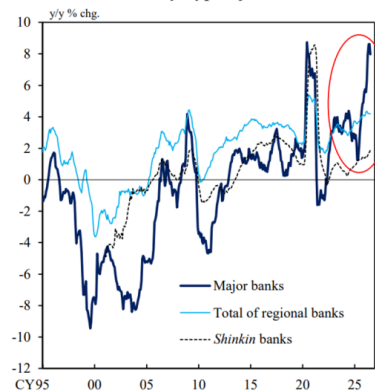
The diagram below has appeared in a few BoJ presentations recently and serves as a reminder that monetary conditions are too loose now that inflation is seen sustainably above 2.00% into FY2028. Among many of the positive charts in these presentations, one that stood out was the 10% year-on-year loan growth from 'Major Banks' – matching the peak from early 2020. Clearly, financial conditions are far from tight.

BoJ's views on neutral rates and loan growth

Range of Neutral Interest Rate and Policy Interest Rates of Major Central Banks



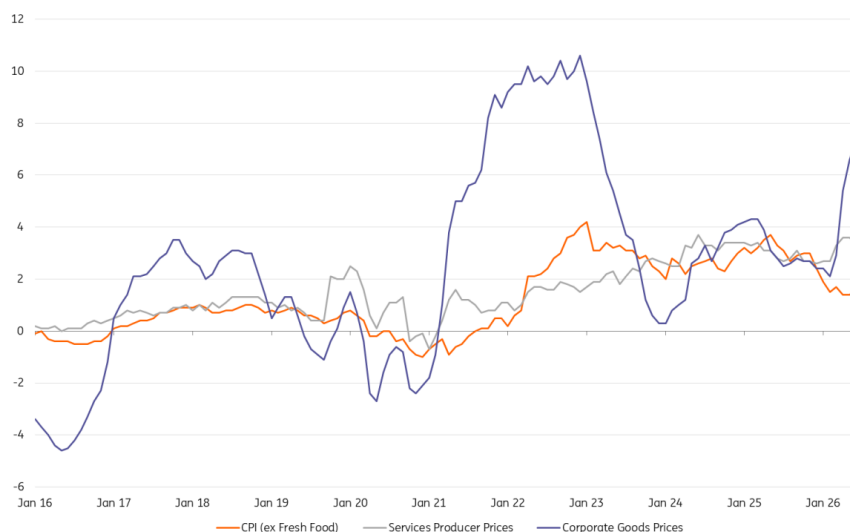
Loans by Type of Bank



Source: Bank of Japan

When it comes to prices, the BoJ narrative has firmly shifted towards inflation moving onto a sustainable path. One central theme now is that higher input/producer prices are more likely to feed through into broader CPI. The most recent Tankan business survey showed output price expectations rising sharply and the BoJ is focusing heavily on the 7% year-on-year growth in corporate goods prices.

Japan's measures of inflation (% , year-on-year)



Source: Refinitiv, ING

The decision

We doubt the BoJ would want to shock investors and Scott Bessent by leaving the policy rate unchanged at 1.00%. A 25bp rate hike to 1.25% looks likely. The marginally bigger risk than unchanged rates is a 50bp rate hike, perhaps as part of a broader understanding with Washington designed to sustainably push USD/JPY lower, reduce the need for large-scale dollar selling intervention from the BoJ and help stabilise JGBs.

However, the Japanese government has an aggressive pro-growth strategy and will no doubt express its views against a more aggressive tightening cycle. Maybe we are underestimating a shift here, but it is hard to see government officials backing a much faster tightening cycle of either a 50bp hike in September or back-to-back hikes in September and October. Instead, our house view is for two further 25bp rate hikes next January and April, which would take the policy rate to 1.75%.

A near-neutral 1.75% policy rate next April seems an appropriate target before the consumption tax on food and non-alcoholic beverages is cut from 8% to 1% that month for two years. That will sharply depress headline inflation – perhaps for the next two years – and would create a difficult environment in which to deliver further tightening.

FX: Yen bulls risk some disappointment

USD/JPY has already fallen sharply on expectations of faster BoJ tightening and speculation over major shifts in GPIF investment allocations, perhaps in late October. Before the BoJ meeting, USD/JPY will have had to contend with (ING's forecast) a Fed hike two days earlier and higher energy prices.

In FX, we see a greater risk that the BoJ fails to match heightened speculation over a follow-up rate hike in December, while October looks far too early. Equally, some may be disappointed if there is no news from the GPIF on the same day. If so, USD/JPY could be due a correction to the 157/158 area, where presumably more supply awaits ahead of potential policy announcements in late October.

For reference, the FX options market is pricing around a 200 yen pip range for USD/JPY on BoJ decision day.

Rates: The back-end to get more protection

The big theme going into this Bank of Japan meeting has been the marked widening of the carry spread (BoJ spread to the 2yr), which is out to the 80s bp area. That's the widest it's been during the current rate-hiking cycle. Typically, the widest carry spread would be at the initiation of the rate-hiking cycle. The fact that it's widest now points to a market discount for a degree of acceleration in the rate-hiking process. The absolute level of the carry spread points to the delivery of at least 50bp on top of the 25bp that we expect to be delivered at the upcoming meeting.

The 2/10yr curve in the meantime has flattened from the front end, broadly in tandem with the upside pressure that widened the carry spread. Indeed, longer tenor rates have managed to come off prior highs. This is particularly marked in the 30yr Japanese Government Bond benchmark yield. It had touched 4.2%, before gapping back down to just under 4% in the past couple of weeks. Much of this move gelled with the notion that the BoJ would inevitably hike at

the upcoming meeting, and for it to be a hawkish hike, one that was more cognisant of the inflation risks that had been compromising long-dated yields.

Delivery of a 25bp hike plus a hawkish tone should help consolidate, or at the very least, validate these moves. The 4+% area of the long end of the JGB curve remains a level that we would identify as offering structural value. Deep discount off-the-run low-coupon lines continue to offer generous absolute yields in the 5%+ region. These are remarkable valuations given where JGB yields have come from (practically from zero in 2019).

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Article | 11 September 2026

FX RATES UNITED KINGDOM

Why the Bank of England might not be as hawkish as you think

Rising natural gas prices pose a serious headache for the Bank of England ahead of its 17 September meeting. But there's very little sign that inflation is broadening out beyond energy. And unlike the US and even the eurozone, it's harder to argue that rates aren't currently having a restrictive impact. We expect a 6-3 decision to keep rates on hold



Governor of the Bank of England, Andrew Bailey. We're expecting a 6-3 decision to keep rates on hold at next Thursday's meeting

Our Bank of England view in a nutshell

- We expect the Bank of England to keep rates on hold at 3.75% with another 6-3 vote at its 17 September meeting.
- A November rate hike becomes more likely only if energy prices stay consistently high – and there are reasons to think they won't.
- Unlike the ECB, we expect the Bank's doves to hold their ground and reiterate that the risk of second-round effects on inflation remains low. There's even a tail risk that Governor Andrew Bailey pushes back against market pricing for four rate hikes over the next year.

- Our base case is that the Bank keeps rates on hold until next year, when it will cut rates twice (April and November), though clearly the risk is that those cuts come later.
- We expect the Bank to cut the pace of quantitative tightening (QT) to £50bn for the next 12 months, down from £70bn last year.

A tough backdrop - but the case for rate hikes isn't compelling

The backdrop to this month's Bank of England meeting could hardly look more challenging. The rise in oil prices, and especially natural gas prices, raises the very real possibility that inflation could peak at or above 4% this winter. And 4% is a level that the Bank has previously said is statistically more likely to see inflation broaden out beyond energy prices via so-called second-round effects.

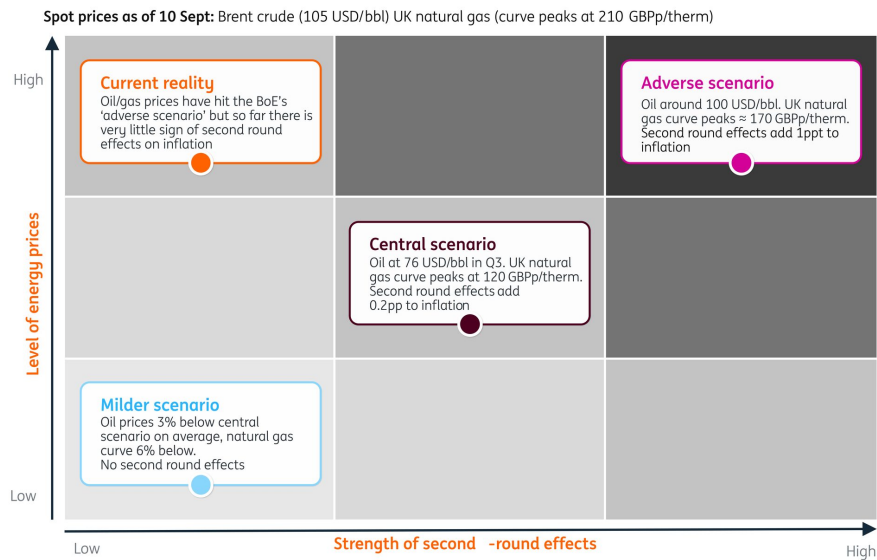
We're now living the Bank's adverse energy scenario that it laid out in its July projections – a scenario which its models suggested could warrant up to four rate hikes.

Yet there are good reasons to think that won't happen. And in sharp contrast to the European Central Bank this month, we don't expect the BoE to turn materially more hawkish at its September meeting.

Firstly, the Bank has consistently said that it is focused on the length of time energy prices stay at elevated levels. Today's prices are a problem if they stay high into November's meeting. But as our team's [energy base case](#) outlines, there are valid reasons to think they won't. And the sheer volatility of prices so far in this crisis warns us against extrapolating today's worrisome backdrop.

Secondly – and much more importantly – there is very little sign that the energy shock is broadening out to the wider inflation basket. That undermines a key assumption underlying the Bank's scenario, which was that the severity of second-round inflation effects increases disproportionately with the level of energy prices. Those July projections suggested that indirect energy effects would contribute one percentage point to inflation at the peak. The current evidence suggests it won't be anywhere near as bad as that.

The Bank's scenario framework - and where we stand now



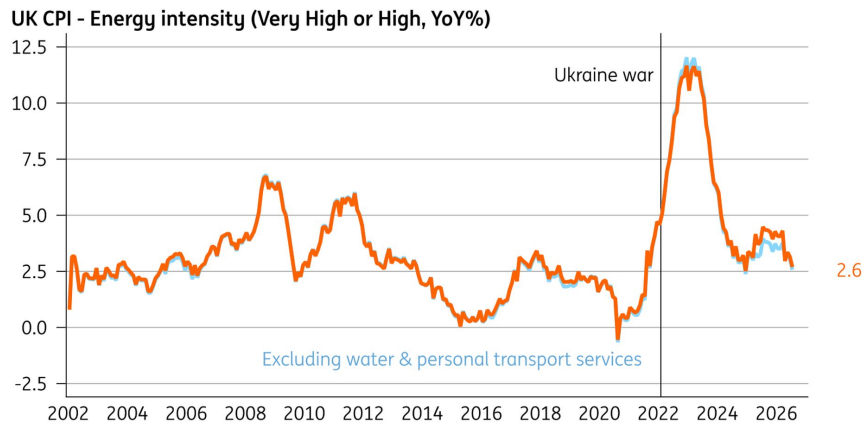
Source: Bank of England, ING

We've been tracking inflation for goods and services that are particularly energy-intensive, and it has actually fallen this year, even after you account for last year's water and car tax hikes. Food inflation has plummeted – from 3.6% in January to 1.3% in July – and producer price data suggests this could actually go to zero in the short term.

Sure, it's early days. All the models will tell you that you're unlikely to see the peak impact of higher energy prices on these categories for 12-18 months. But we should be seeing something already – and we're not.

It's a similar story with wage growth. At a little over 3%, once adjusted for quirks in the data, private sector wage growth is bang on the level the Bank believes is consistent with achieving its 2% inflation target in the medium term. And while this, too, is a slow-moving beast, there's next to no sign in the surveys that this is going to change.

Energy intensive inflation has fallen this year



Source: Macrobond, ING

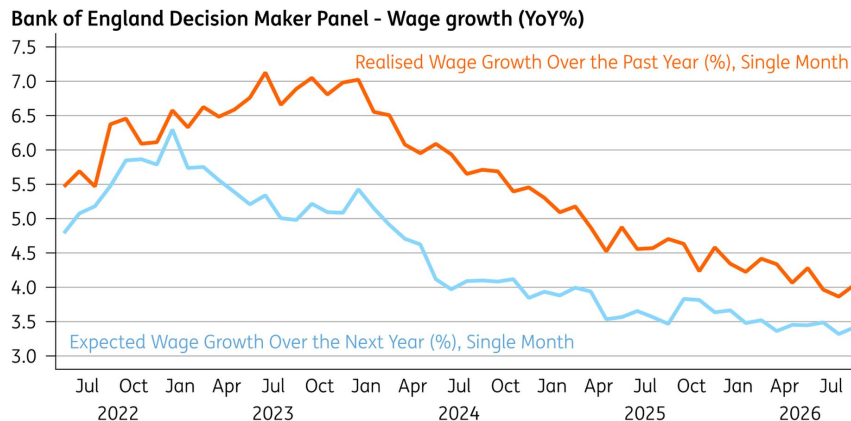
It's hard to argue that rates aren't currently restrictive

The jobs market remains fragile. Rate-sensitive sectors like construction are particularly weak, even if the overall UK growth story is receiving an increasingly noticeable boost from AI. So unlike the US or even the eurozone, where there is a live debate about whether monetary policy is restricting activity at the current level of interest rates, that is a much harder argument to make in Britain.

That's particularly true when you consider that the UK is virtually the only major economy engaging in material fiscal tightening this year. Tax as a share of GDP is set to rise by half a percentage point in the current fiscal year, given the ongoing freeze in tax thresholds. There remains a question mark over how this will change in the October budget, but the scope for material fiscal stimulus under the current fiscal rules is extremely limited. The recent rise in bond yields appears to be focusing minds in Westminster, too.

A rate hike in November is not impossible, but it is not inevitable. We're sticking to our base case that the Bank will keep rates on hold into next year. If energy prices ease and become less volatile, there is still a valid case for rate cuts in 2027.

Wage growth expectations remain low



It's worth remembering that the Bank's committee is deeply divided. Three officials have already voted for a hike – and will do so again this month. But the gap between them and the six doves appears large. Even Clare Lombardelli, who was previously closely aligned with the hawks, said after July's meeting that the decision to keep rates on hold wasn't a difficult one.

The Bank's doves appear increasingly confident that the UK economy is much less susceptible to another 2022-style inflation wave. The July meeting minutes show that, if anything, those views have hardened since the start of the crisis.

The key question for this meeting is whether there's any sign that the doves, en masse, are moving closer to a hike. We suspect they won't. There's even a risk, though probably small, that Governor Bailey opts to push back against market pricing – which now looks extreme.

Back in April – when the ECB was busy talking up the chances of a hike – Bailey came out and said that markets were “getting ahead of themselves” on rate hikes. Back then, two rate rises were priced in. Now, there are four. This would be a bold shout in the current market environment, but it is definitely something to watch for at next Thursday's meeting.

Quantitative tightening – keeping it simple

With all that in mind – and given how fragile bond markets are right now – it might be tempting to conclude the Bank should significantly wind down its quantitative tightening programme. That looks unlikely, though officials are widely expected to slow the pace of balance sheet reduction for the next 12 months, relative to the last.

Over the past 12 months, the Bank's bond holdings have shrunk by roughly £70bn through a combination of circa £50bn redemptions and £20bn active sales. The level of redemptions over the next 12 months is set to be reduced to £28bn – and we suspect the Bank will opt to keep its active sales roughly stable.

That points to a QT 'envelope' of £50bn for the coming year, which is fairly consensus. And the Bank has a habit of delivering on those consensus expectations. The strong rise in gilt yields is still mostly an inflation story, which means a slowdown in QT does not change the bigger picture.

GBP rates gripped by external factors

Given the sharp contrast between our own (and the consensus) Bank of England view and market pricing right now, it begs the question of when the two might start to converge.

The truth is that external factors currently have a stronger grip on rate markets than the Bank of England. That means oil and US rates will likely stay in the driving seat for now. For every \$10 increase in oil prices, gilt yields rise by some 10-15bp. Meanwhile, a strong rise in US real rates is adding upward pressure to UK interest rates too. Higher real rates are being driven by better-than-expected growth but also concerns about significant bond supply to absorb, from both governments and AI investments.

We therefore expect volatility in the gilt market to remain high for the time being. Only when second-round inflation risks soften in 2027 do we see more scope for yields to settle lower.

Sterling – remarkably low volatility

EUR/GBP continues to trade in exceptionally tight ranges, suggesting some kind of equilibrium has been found in the 0.85-0.86 range. The big cyclical question for sterling is when expectations of a 100bp BoE tightening cycle drop out of money markets and weigh on the pound. Were Governor Bailey to push back against those expectations at the September meeting, EUR/GBP would probably break higher. We have a 0.86 EUR/GBP forecast for end-September and a 0.87 view for year-end on the assumption that some of that aggressive BoE tightening is priced out.

But the main observation for EUR/GBP is its incredibly low volatility. Three-month realised volatility is about the lowest in twenty years. That makes it cheaper to buy FX options protection for corporates ahead of what could be a volatile period for financial markets. Be it the threat of higher bond yields taking down global equity markets or the new Burnham government trying to thread the needle of higher social spending and fiscal restraint, volatility levels will struggle to get much lower. Higher volatility not only weighs on sterling by undermining the carry trade (which is helping sterling currently), but the source of that volatility – probably from the financial sector – is a sterling negative too.

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Article | 10 September 2026

ECB remains focused on the here and now

At today's press conference, ECB President Christine Lagarde didn't give away any hints about what will be next for the central bank. Details of the ECB's staff projections, however, have left a hawkish aftertaste



Today's meeting left a slightly hawkish aftertaste, but we still struggle to envisage the ECB being willing to add more fuel to the fire

Lagarde's comments at today's press conference stressed that the ECB remains on high alert but also indirectly admitted it is in no better position than anyone else in financial markets; the only thing that's currently clear about the outlook (for monetary policy) is that nothing is clear. In other words, the outlook for the ECB's monetary policy remains highly dependent on both the external environment (mainly energy prices) as well as the pass-through of high energy prices into the rest of the economy.

Today's rate hike was a no-brainer

Even if the ECB doesn't like the term, today's rate hike decision – which brought the central bank's deposit rate to 2.5% – still falls into the category of an 'insurance' rate hike. Or, to put it in terms the Bank might prefer, it is a hike to stay ahead of the curve, demonstrating the ECB's high level of vigilance, and an attempt to prevent higher energy prices from feeding through to the broader economy.

While the stage was set for a rate hike, even under a more benign energy price outlook, the recent escalation in the Middle East and surge in oil prices have clearly strengthened the case for an increase. This is despite the fact that other inflation measures, like core and services, as well as survey-based inflation expectations, still suggest there are hardly any second-round effects from higher energy prices.

This picture is reflected mainly in the latest round of staff projections, which show inflation unchanged at 3% this year. For 2027 and 2028, the inflation forecast was revised upwards to 2.5% and 2.1%, respectively. Core inflation is expected to come in at 2.5%, 2.6% and 2.3% in 2026, 2027 and 2028, respectively. Growth was revised upwards slightly to 0.9% this year and 1.4% in 2027 (and 1.5% in 2028). Looking at the quarterly profile of the forecasts, inflation would only drop below 2% by the end of 2027. In the ECB's mild scenario, inflation would already be below 2% by the second quarter of 2027 – but in an adverse scenario, it would remain close to 3% by the end of 2028. Still, don't forget that the recent surge in bond yields and oil prices has not been fully incorporated into these forecasts.

Hawkish aftertaste

Considering the latest developments, today's rate hike wasn't controversial; it was almost a no-brainer. In light of higher actual and projected headline inflation, bringing the policy rate to the upper end of the range that the ECB itself calls 'neutral' did not pose any risk of being too activist or too restrictive. Even if Lagarde tried to downplay the concept of neutral interest rates during the press conference, at least as a guiding concept. In any case, the harm of doing nothing, at least for the ECB's credibility, is clearly more significant here. However, looking beyond today's hike paints a very different picture and is much more complicated.

Going further would mean that the ECB sees restrictive monetary policy as necessary. But there is a big difference between an economy that has shown resilience and an overheating economy that needs restrictive monetary policy. However, we have to admit that, looking at the ECB's staff projections, forecasting inflation above target for too long and the fact that these forecasts are based on interest rates pricing in between one and two more rate hikes, the risk of at least another rate hike is high. The counterargument to that view is that, with the highly volatile situation in energy markets, oil prices could also easily swing back in the other direction – which, in turn, would lead to significant changes in the ECB's inflation forecasts. In other words, if the situation in the Middle East were to ease before year-end and any indirect effects from higher energy prices remain absent, the need for the ECB to deliver additional rate hikes would disappear.

All in all, today's meeting left us with a slightly hawkish aftertaste. Even if we still find it hard to see – amid public finance woes and surging bond yields – that the ECB would really be willing to add more fuel to the fire. In other words, it's difficult to envisage the ECB being willing to risk a recession to tackle what is still a textbook supply-side shock. Admittedly, though, the ECB has made policy mistakes before.

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Article | 16 September 2026

RATES SPARK

Rates Spark: US 10yr likely gets above and stays above 5% ahead

Chair Warsh delivered on the market discount, and yes indeed, did so after all the talk that this Fed would do things differently. It was still an eloquent performance. But it won't rescue the back end of the curve. We identify 5.25% as a next target for the US 10yr yield. Over to the Bank of England next



The Fed raised rates by 25bp. We maintain our bearish stance on long bonds and see the UST 10yr yield heading toward 5.25%

The Fed calms the back end, but we'd not be getting too comfortable on it ahead

Ahead, we maintain a bearish stance on long rates despite the calmness post the decision, as a 25bp hike does not materially change the dynamics that have hampered long rates in recent months. Inflation remains high, as does the fiscal deficit, as is wider issuance. And the AI productivity-driven narrative remains in place. The odds see the 10yr yield breaking back above 5% in the days and weeks ahead. If so, the market will begin to settle at above 5%, and ponder the 5.25% to 5.5% range as an area that is perfectly attainable in light of the still quite loud mood music that has been driving long-end yields.

Delivery of the anticipated 25bp hike, by definition, should not have a material effect. The back end initially took the decision very fine, with yields steady in the 4.95% area, although it had shown a mild bias to test lower, as had been the theme through the morning into the decision. What helped here was the price action of previous days that saw the 10yr yield get above 5%, and indeed close above 5%, thus ticking off the need to necessarily have that reaction post this decision. Chair Warsh will be pleased that the breakout of the 10yr yield shows a moderate fall in inflation expectations, which telegraphs a nod of approval from the market to the hike as an inflation containment one. The 10yr real yield is a tad higher as an offset.

Also, the 30yr yield is a tad richer vs SOFR, although not by much. Even though the 30yr yield is still higher than it was before Treasury Secretary Bessent's buyback announcement, it's well below the subsequent highs. And it's clinging on to a 4bp richening versus SOFR compared with the pre-buyback announcement level. At the other end of the curve, the 2yr was a tad spooked by the unanimity shown by the committee on the hike (Chair Warsh voted for the hike too), and the implied priming for another hike from the dot plot. So, the 2yr yield is up 10bp to almost 4.7% post the decision. And the curve is flatter, mostly from the front end, and the 2/10yr Treasury yield curve is back below 30bp. The 5yr is flat on the 2/5/10yr fly though, suggesting that if there are more hikes, it should not be many.

Nothing of note on the plumbing, apart from noting ample bank reserves, suggesting a degree of comfort with balance sheet circumstances. Which is fair. We await the outcome of further deliberations in this space by the end of 2026, with the yet-to-come prescribed action to be taken from 2027.

Markets too hawkish on Bank of England, but oil pushes against us

The Bank of England (BoE) is next, and even though we see significant potential for a dovish repricing in sterling rates, we don't see that happening in the near term. We expect the [BoE to hold](#) rates steady for the time being and even see scope for cuts in 2027. In contrast, markets see the BoE hike almost four times over the next year, more so than the European Central Bank and the Federal Reserve. Trading against markets is challenging, however, given the strong correlation with oil. A \$10/bbl increase in oil pushes up the 2Y GBP swap rate by some 15bp.

With oil staying in the driving seat for sterling rates, the BoE is unlikely to trigger a drastic turn for now. The [latest inflation data](#) does not show concerns about second-round inflation effects. One could argue the same for the ECB, even though it did pursue a rate hike last week. But compared to the ECB, with a Bank Rate of 3.75%, monetary policy in the UK is arguably already in contractionary territory. Meanwhile, job numbers reflect a cooling economy, so the inflation pass through to wages should be limited. As such, we don't expect the Bank of England narrative to turn more hawkish as we witnessed at the Fed and ECB.

We think 10Y gilt yields should also come down in 2027 as markets reprice inflation risks, but upward pressure on longer-dated gilts can sustain. Global supply pressures in the form of government spending, quantitative tightening (QT) and AI issuance can continue to increase longer-dated rates. We'll therefore also be watching for revisions of the Bank of England's pace of QT, which we think has had a [significant contribution to higher gilt yields](#).

Our baseline is for a decrease in the pace of QT from £70bn to £50bn, since this would approximately keep active sales constant. These numbers are in line with consensus. We do see a small chance that the Bank of England slows the pace by more, or even halt the active sale entirely for longer maturities. The argument would be that the balance sheet has already shrunk enough and the private demand for longer maturities has fallen. This could benefit longer-dated gilts and help tighten the spread between gilts and swaps.

Thursday's events and market view

The BoE is the main event of the day with markets seeing only marginal chances for the Monetary Policy Committee to decide on a hike – some 2bp are discounted, equivalent to a roughly 10% probability of a hike.

Ahead of the BoE we will hear from a number of ECB speakers, with Chief Economist Lane, France's Moulin and Finland's Rehn slotted for the day. The eurozone will also release final CPI data for August. The US will release the weekly jobless claims data and housing-market-related data: building permits, housing starts and pending home sales.

In primary markets, Spain will auction 6y, 8y and 10y bonds (€6bn), while France auctions 3y to 6y bonds (up to €13bn) as well as a new 11y inflation-linked bond (up to €2.5bn). The US auctions 10y TIPS (US\$19bn).

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Article | 16 September 2026

FX

FX Daily: Consensus Fed hike can still lift USD

Markets are fully expecting a 25bp hike to 4.0% today, and a surprise hold or strong dovish dissent could have a materially negative impact on the dollar. But that's a small risk, as the FOMC is likely mindful of any adverse Treasury-market implications. Openness to further hikes by Warsh can leave the dollar broadly supported



A Federal Reserve hike of 25bp is widely expected today

↑ **USD: Warsh can give dollar a bit more help**

We [expect](#) the Fed to raise rates by a consensus 25bp to 4.0% today. Markets are pricing in 23bp for today, 52bp by year-end, and 89bp by June. A surprise hold would likely deliver a big blow to the dollar: both through the dovish repricing in front-end rates and a likely selloff in the back end. The Fed is likely well aware of that risk for Treasuries, which should keep the probability of a hold low.

That, in our view, also argues for a hawkish message. A dovish hike may not be enough to convey the monetary policy discipline bond investors currently demand, particularly given the amount of tightening already priced into swaps. Recent bond market headlines may even have helped bring some FOMC members behind a hike, reducing the likelihood of visible dissent, at least for now.

If anything, the new economic projections pose some risk of dovish disappointment. Inflation may be revised slightly lower, while our economists expect the median dot plot at 4.0% in both 2026 and 2027, well below market pricing. Even so, we think Chair Kevin Warsh's press conference will be the key driver of the market reaction. Any openness to further tightening can support the dollar by reinforcing policy credibility and countering any debasement trade risk premium.

Incidentally, the external picture argues against building sizeable USD shorts at this stage. Brent is aiming for \$110/bbl, as Iran-Gulf negotiations are delayed again, and softness in tech stocks is weighing on overall sentiment. These conditions suggest markets are more likely to fade a negative dollar reaction to the Fed today, unless triggered by a significant dovish surprise, rather than a positive one.

Before the Fed, the August US retail sales release is also due. However, with such a major risk event looming, we expect a relatively muted market response.

Francesco Pesole

EUR: 1.150 test can come sooner than later

Today's Fed announcement can take EUR/USD closer, if not all the way, to our 1.150 target. We are not ready to call an imminent end to the decline given the energy price backdrop, but below 1.150 the risks should become more balanced from a technical/short-term valuation perspective. Short-term rate differentials wouldn't accommodate big moves lower, and the risks of any political/domestic risk premium build-up appear more concentrated on the US ahead of the midterms than the eurozone (even though the French budget is a concern).

Looking a bit further ahead, our macroeconomists' calls for no further hikes by both the Fed and ECB imply room for sharp dovish repricing in both the EUR and USD curves. A coordinated move lower in front-end rates can put a floor under EUR/USD, as would likely happen alongside a decline in energy prices. Lower USD funding costs usually have a positive knock-on effect on global sentiment.

Elsewhere, EUR/GBP is trading a tad higher this morning after UK inflation figures printed in line with consensus. Headline CPI accelerated from 2.9% to 3.1% in August, but there is still no evidence of accelerating inflation in core and services. That's something Bank of England doves can cling to [tomorrow](#), tilting the balance to a more dovish message relative to very hawkish market expectations. We still target a return above 0.860 in EUR/GBP in the coming days.

Francesco Pesole



NZD: Growth slowdown can curb hawkish pricing

New Zealand published second-quarter GDP data overnight. Expectations are for a material growth slowdown to just 0.1% QoQ after a strong first quarter (0.8%). Those figures play a secondary role for the Reserve Bank relative to inflation and jobs, but given the low (quarterly) frequency of key data releases, the market impact can be magnified.

At its September meeting, the RBNZ delivered a dovish surprise, signalling there is only room for another 25bp to 3.0%. That should not be taken as a commitment, and the longer energy prices remain elevated, the higher the chances of upward revisions in policy projections by year-end.

Our call remains for the next and last hike in December, but chances of an October move are increasing, with markets pricing in around 65% probability. Tomorrow's GDP can be an important input for those October expectations.

That said, NZD/USD remains primarily driven by global risk sentiment and US events. We think the decline has a bit further to go on a Fed hike and risk assets' fragility. For the moment, we see 0.570 as a bottom, though, with room to bounce back towards 0.59 as early as year-end on some dovish Fed repricing.

→ CEE: Energy risks limit the scope for an FX recovery

Today brings the first notable CEE data releases, although global repricing and elevated energy prices are likely to limit the local market impact. Poland's August core inflation is expected to edge up from 3.1% to 3.2%. Czech August PPI, the last data release before Thursday's central bank meeting, follows July's renewed acceleration. Hungary's July wage growth is also expected to accelerate, from 7.0% to 8.1%.

CEE markets stabilised yesterday after Monday's sell-off, with pricing settling at around five rate hikes each in Poland and the Czech Republic and just under one rate cut in Hungary. As noted yesterday, wider rate differentials should support FX, as reflected in the stabilisation of CEE currencies. However, gas and oil prices remain elevated, with little relief in sight. Given the region's high energy-price exposure, a sustained CEE FX rally appears unlikely. We therefore maintain our neutral view.

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Article | 15 September 2026

RATES SPARK

Rates Spark: How about a 50bp hike? Now that would be quite the statement

Close your ears Mr President, but 50bp might be the right move, as it *could* be more fitting with how Chair Warsh *might* like to pursue policy. We re not calling for it, as we go for 25bp. But, is Chair Warsh just going to deliver the market discount? Really? After all that we ll do things differently talk? This is why this meeting is so intriguing



A 50bp rate hike by the Federal Reserve could be the right move (Mr President), although we think it will be 25bp instead - the market discount

We think a 25bp hike. But lets discuss

So, how are we positioned ahead of the Fed decision? Basically, the Federal Reserve *must* hike, and if it doesn't, it has quite some explaining to do, as a hike is practically fully discounted. The issue is just that. Chair Warsh would be delivering on the market discount, one that he, to a significant extent, manufactured through guidance (from his Jackson Hole speech). This is precisely the round and round that Chair Warsh voiced as quite sub-optimal: the circular from Fed guidance to the market discount to Fed delivery of that discount. There are two alternatives. One is no change in rates, which is not impossible given that we're still getting our heads around Warsh. But still, quite unlikely, partly as it could really kill off the back end.

The other option is to hike by 50bp. Doing so would see the Fed take some degree of control of

the situation, which may well be more preferable from Chair Warsh's perspective. Presumably, such a move would not be followed by forward guidance (as that's not what he likes), but it could still be "guided" as akin to a "one and done", or at the very least, getting ahead of the curve, through a chunky "insurance hike". That's the reward. But the risk could be market instability. The back end *should* be comforted by this, as the Fed would be seen to be actively protecting it. But it could just as easily freak out the back end, as it validates the 100bp rise seen in the 10yr yield in the past half year, and it engineers a follow-through sell-off. All things considered, this is the move that is more likely to tame the back end (if it can be tamed at this juncture).

For clarity, we're going for 25bp. See more [here](#). And for our views on longer tenor rates, see more [here](#).

Term premium can keep building, bear steepening curves

Rate markets continue to show volatility and higher longer rates suggest not everything is about near-term central bank expectations. The term premium is doing its own thing and adds uncertainty to the rates outlook. Even if oil prices were to ease lower from here, other factors might keep the long end sticky at elevated levels. For one, the yield on a 30Y Japanese government bond is rising rapidly again. Meanwhile, lower liquidity at such longer tenors in the euro swap space is adding to the volatility. US deficit concerns are also unlikely to fade.

The question is then, who wants to jump in at these higher rates. Exposures to long-duration bonds are typically a hedge against recession risk, but this doesn't seem a focus for markets currently. Typically, the term premium can keep rising in favourable economic circumstances as growth and positive sentiment add upward pressure. Yet we cannot forget the flip side of this. Booms are followed by busts. Timing is of course the issue here. We could be at the beginning of a cyclical upswing driven by AI as the driving engine, or we could be at peak global growth followed by a cooling from here onwards. Plenty of arguments for both directions. For now, we think the upward pressure can sustain. For 2027 we are, however, more pessimistic, especially on the US economic outlook.

Wednesday's events and market view

The Fed will take the spotlight on Wednesday. By now, the market is pricing an over 90% probability of a hike, which would take the Fed funds target range to 3.75-4%. One thing market participants will watch is whether the dot plot pencils in more tightening by the end of this year.

Ahead of the Fed meeting there will be some notable data releases over the course of Wednesday, starting with the UK inflation numbers for August. In the eurozone we will get the industrial production data for July. Of further interest surrounding the debate

about second-round inflation effects will be the European Central Bank's release of its wage tracker. Speakers scheduled for the day are Vujcic and Nagel from the ECB.

Turning to the US, import/export prices can round off the inflation picture; retail sales are expected to have improved in August. We will also get the mortgage application numbers and the NAHB housing market index.

In primary markets, Germany taps two ultra-long bonds (€2.5bn).

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Article | 15 September 2026

FX

FX Daily: Dollar finally catching up with its drivers

The dollar had a strong start to the week, finally realigning with a set of supportive short-term drivers: front-end rates, higher energy prices and soft risk sentiment. We could see some stabilisation ahead of tomorrow's key FOMC announcement, but risks remain on the upside for USD. Elsewhere, we have little faith in this GBP outperformance



The dollar is having a strong start to the week

➔ USD: Finding strength

US 10-year yields touched 5.0% yesterday. As our rates team discussed [here](#), that's no reason to panic: 5% is a tolerable 50bp premium over the upper bound of our estimate for the neutral 10y rates (4.0-4.5%).

The relevant question for FX is whether that represents a pain threshold for the Treasury. Markets were disappointed with the \$6bn buyback operation, meaning any new intervention has a clear higher bar. Remember, larger unscheduled buybacks should be dollar-negative regardless of their effectiveness in capping yields. For now, Scott Bessent may be willing to let a largely oil-fuelled bond rout run its course, perhaps counting on Wednesday's likely Fed hike to at least keep inflation expectations from breaking loose.

Yesterday, the dollar finally caught up with the tailwinds we've highlighted over the past couple of weeks: supported front-end rates, high oil prices, and a soft risk environment. Yesterday was DXY's strongest session since the day of Warsh's Jackson Hole speech. What's surely helping the index is the yen losing much of its idiosyncratic push. USD/JPY was briefly back at 155.0, and as we discussed [yesterday](#), we think upside risks extend to 156-157 in the near term.

The most realistic driver of a USD correction today is any positive development in the Gulf. The latest headlines on reduced Saudi output and delayed negotiations have continued to support Brent at around \$107/bbl.

The dollar may stay in tighter ranges until the FOMC delivers its verdict tomorrow evening: today's calendar includes only the Empire Manufacturing and weekly ADP payroll figures. Still, the broader backdrop keeps the odds in favour of further dollar gains, in our view. DXY at 100.0 remains a credible near-term target.

Francesco Pesole

➔ **EUR: 1.150 in sight**

This morning's ZEW in Germany is expected to keep improving. Consensus is looking at a jump from 34 to 40 in the expectations gauge and from -61 to -52 in the current situation one. That's effectively the only data release with any market-impact potential this week – unless final August CPI prints show large revisions. Anyway, the echo of last week's hawkish ECB hike remains a more relevant driver for any euro resilience at this stage.

Our models suggest EUR/USD is close to its short-term fair value model, slightly leaning towards undervaluation. That said, global equities and short-term rates have the highest betas on EUR/USD at the moment: a risk-off, hawkish hike by the Fed tomorrow could easily take the pair to our 1.150 short-term target.

Francesco Pesole

⬇ **GBP: Not trusting the EUR/GBP downtrend**

The pound has shown good resilience to the dollar's advance. EUR/GBP is down by around 0.5% since Friday, perhaps on some precautionary positioning ahead of the Bank of England meeting on Thursday.

But as discussed in our [preview](#), we think the risks are actually on the dovish side this week. Unlike the ECB, we suspect BoE doves will hold their ground and stress that there is no evidence price pressures are extending beyond energy prices. We also see some risk that Governor Andrew Bailey himself pushes back against aggressive market pricing (45bp by December, 100bp by June).

We struggle to see EUR/GBP falling much further from here. Most risks appear on the upside in the coming weeks, from the monetary policy story mentioned above to potential fiscal headlines ahead of the late October budget to growing pressure on Downing Street to allow independence referendums in Scotland, Wales and Northern Ireland. Our target remains 0.87 for EUR/GBP.

Francesco Pesole

➔ **CEE: Higher rates offer currencies a buffer after the global shock**

The regional calendar is relatively light this week, with Thursday's CNB meeting the only key event. With local developments having limited market impact, global drivers have taken centre stage. Yesterday's shock – a post-weekend surge in energy prices, a rise in the 10-year US Treasury yield to 5%, and a stronger US dollar – hit CEE markets hard, weakening currencies and sharply repricing rates higher across the curve. Front-end markets in the CEE3 priced in an additional 10-20bp of rate hikes on average. Although risk-off sentiment is likely to persist today, higher front-end rates should help cushion currencies against further losses and create scope for stabilisation.

Our EUR/CZK view is broadly unchanged: we expect the pair to approach Thursday's CNB meeting near 24.300, with further upside if the central bank adopts a dovish tone versus market pricing, which is our baseline. The EUR/PLN rate differential recorded the region's largest increase yesterday and the zloty could stabilise below 4.340 as markets look through dovish comments from MPC members after the NBP decision. EUR/HUF remains vulnerable, reflecting its typically high sensitivity to gas prices, and may rise further. With the Hungarian market still pricing in roughly one rate cut, the forint could again test levels above 368. Support may not emerge until next week's NBH meeting, which we see as carrying hawkish risks.

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Article | 16 September 2026

TMT INDIA PHILIPPINES

Why India and Philippines aren't losing the AI battle – yet

AI disruption fears look premature in India and the Philippines. India's business services exports have more than doubled as a share of GDP since Covid, as the Philippines digitally delivered services exports grow even as the mix shifts. The evidence points to adaptation, not decline. AI is reshaping what gets outsourced, not shrinking demand for it



Why AI matters for India and the Philippines

India and the Philippines have long emerged as global outsourcing powerhouses, leveraging skilled labour, English proficiency, and cost competitiveness to build large software, IT, and business services sectors.

The rise of AI, therefore, matters disproportionately for both economies. Many outsourced services involve routine tasks that AI can increasingly automate, raising questions about the future of services exports and employment.

The stakes are high. The Philippines accounts for an estimated 15-17% of the global business process outsourcing (BPO) market, while India commands more than half of the global outsourcing industry. These sectors are important export earners, generating more than \$40bn in annual revenue in the Philippines and around \$205bn in software services exports in India. But they're also major sources of employment in the Philippines and India, supporting roughly 1.9 million and 5.8 million workers, respectively.

The sector's resilience matters because services exports play a critical role in financing persistent current account deficits of both economies. In the Philippines, telecom and business services exports amounted to around 7% of GDP in 2025, more than offsetting the country's current account deficit of 3.5% of GDP. In India, software and business services exports stood at roughly 8.5% of GDP, compared with a current account deficit of 0.5% of GDP. So, services exports are more than just a source of growth and employment. They're a key pillar of external stability, providing an important buffer for the balance of payments and serving as a crucial source of support for the peso and the rupee.

Are services exports showing signs of disruption?

India's software services exports show little sign of AI-driven disruption. Export growth remained robust at around 12% year-on-year in mid-2026, slightly above pre-pandemic rates. Software services exports have risen to roughly 5.2% of GDP from 3.3% before Covid.

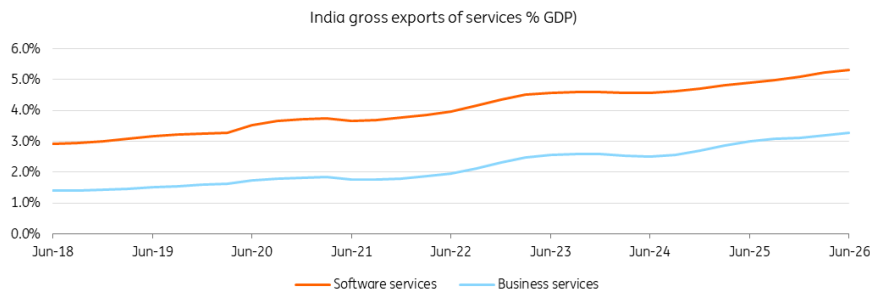
While part of the initial increase reflects a post-Covid surge in digitalisation and outsourcing demand, the trend has remained firmly intact even after that boost faded. In fact, software services exports have increased by a further 1ppt of GDP since the mainstream AI explosion with the launch of ChatGPT in 2022, suggesting that demand for Indian technology and business services continues to expand despite rapid advances in AI.

More interestingly, business services exports have accelerated sharply. They've more than doubled their share of GDP to 3.3% from 1.6% before Covid. This category captures many of the higher-value activities that firms increasingly offshore to India, including finance and accounting, risk management, legal and compliance support, engineering design, R&D, analytics, and consulting. As firms shift from traditional back-office outsourcing toward more knowledge-intensive work, demand for these services is holding up strongly despite rapid advances in AI.

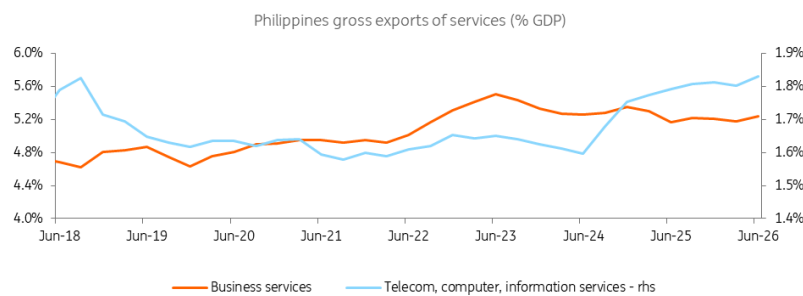
In the Philippines, this resilience has been notable, though growth has been more modest than in India. Telecom/computer services and business services exports have continued to expand, lifting their combined share of GDP to 7.1% by mid-2026 from 6.3% before the pandemic. The composition, however, has been different. Telecom and computer services have emerged as the main growth engine, while business services have moderated after the post-Covid surge in outsourcing demand. Even so, little evidence suggests AI has materially weakened external demand for Philippine services exports.

Yet strong export growth doesn't mean AI has no impact on the industry. Rather, the disruption is increasingly visible in the composition of outsourced work and the skills in demand.

India is seeing a sharp acceleration in business services exports



Philippines – computer services take the lead



Source: CEIC

AI is changing the nature of work, not eliminating demand

While BPOs have traditionally relied on repetitive, rules-based tasks, AI is increasingly automating these activities. Large language models are improving efficiency in customer support, legal reviews, claims processing, document verification and data entry, allowing many tasks to be completed in a fraction of the time previously required. The disruption is spreading beyond text. AI-powered voice assistants are becoming more capable of handling customer service interactions. AI-assisted coding tools are making software development faster and less labour-intensive.

As a result, industry growth is gradually shifting away from routine processing activities towards analytics, software development and other higher-value services. To understand where this growth is occurring, it's useful to look more closely at exports of all digitally delivered services (DDS). They capture a broader range of cross-border business and technology services delivered electronically, including both outsourced activities and work undertaken through multinational Global Capability Centres (GCCs).

Global trade patterns favour higher-value services

The composition of global DDS exports suggests that higher-value services are becoming increasingly important. The largest category is other business services, which account for

around 40% of total DDS exports and include research and development, professional consulting, management and legal services. This is followed by computer services (20%), financial services (16%) and charges for the use of intellectual property (12%).

This is particularly relevant because GCCs increasingly undertake activities that fall within the "other business services" category, including finance, risk management, analytics, technology and R&D. Given the rapid expansion of GCCs in both India and the Philippines, DDS provides a more comprehensive measure of the sector's performance and resilience to AI.

India is gaining share in higher-value services

India's strength lies in business services, the largest component of DDS exports. This arguably puts the country in a better position to withstand AI's impact, as demand is increasingly shifting toward higher-value, knowledge-intensive work rather than routine tasks.

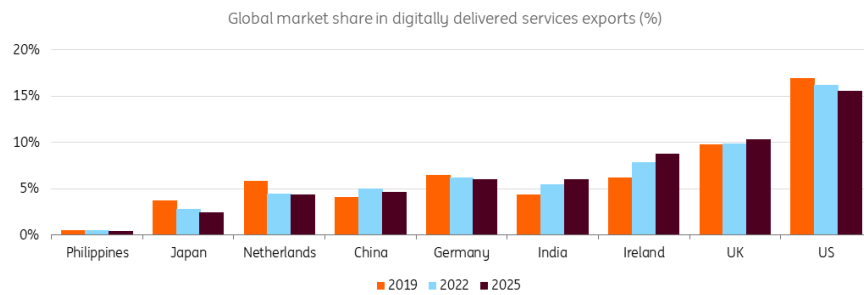
Since 2022, India's DDS exports have grown by 45%. This outpaced global growth of 32% and allowed the country to gain market share despite weaker performance in several large Asian economies, including China and Japan. Much of this growth has come from other business services, which have expanded at an average annual rate of 15% since 2022, significantly faster than global growth of 9.3%.

India's DDS exports are outpacing global growth



Source: World Trade Organisation

India is emerging as a bigger player in global DDS



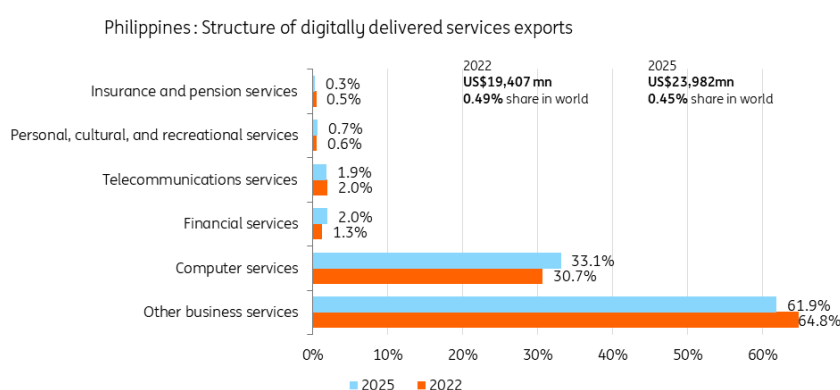
Source: WTO

The Philippines is shifting its mix

The Philippines presents a somewhat different picture, with the composition of services exports evolving rather than market share expanding. While the country's share of global DDS exports has remained broadly unchanged since 2022, the export mix appears to be evolving. While DDS exports have grown by 24% since 2022, financial services and computer services are increasingly driving growth rather than traditional business services. Financial services exports have expanded by around 25% per year since 2022, while computer services exports have also grown strongly.

In other words, while India is gaining share through its strength in business services and GCC-driven activities, the Philippines appears to be adjusting by increasing its exposure to faster-growing segments such as financial and computer services. The common theme across both countries is that AI is changing the composition of services exports. Yet there's little evidence so far that it's causing outright contraction in export revenues.

Composition of Philippines services' exports is changing



Source: World Trade Organisation

Is employment under pressure?

The Philippine IT-business process management (IT-BPM) sector has a much larger footprint

than its direct employment share suggests. According to the ILO, more than a quarter of jobs in the Philippines are potentially exposed to GenAI, the highest share among ASEAN economies with comparable data. However, exposure does not necessarily imply displacement. Only a small fraction of jobs, estimated at around 4%, fall into the highest-risk category for automation. The vast majority are more likely to experience productivity gains than outright replacement.

This distinction is important. While the Philippines is among the economies most exposed to AI-driven change, the evidence so far points to job transformation rather than job destruction. Data on employment, particularly sector-level employment, are not readily available for either India or the Philippines. As a result, we rely on the closest available proxies. For the Philippines, we combine employment data for the information and communication, professional, scientific and technical services sectors. By this measure, employment has grown by around 4.5% over the past year, with the recent readings remaining close to their long-term trends.

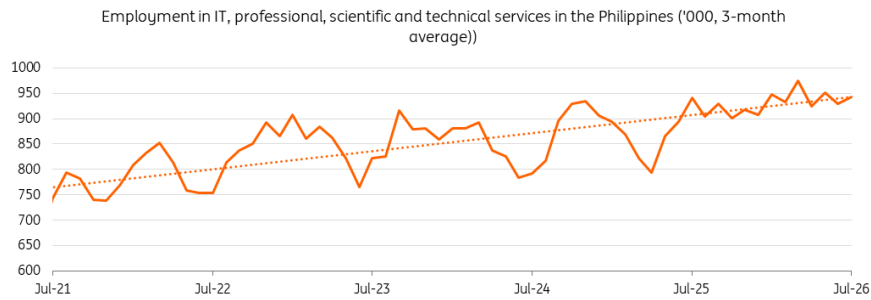
The evidence from India points in a similar direction. Rather than widespread job losses, the impact of AI appears to be showing up through slower hiring and changing skill requirements.

As per news reports, India's top IT firms added just 17 net employees in the first nine months of FY2026, down sharply from the previous year. Entry- and mid-level roles face the greatest pressure. This points to rising productivity and lower labour intensity as AI adoption accelerates.

Yet the broader industry continues to expand. The National Association of Software and Service Companies (NASSCOM) expects India's technology workforce to reach around 6 million workers in FY26, up 2.3% YoY. AI may be reducing the need for traditional hiring, but it is also creating demand for different skills.

This is partly because demand itself is evolving. While traditional IT firms are hiring more cautiously, GCCs continue to expand and absorb higher-skilled talent. Government outsourcing is growing, IT services are moving deeper into smaller cities, and demand for software, analytics, AI and cybersecurity talent remains strong. Even as AI writes more code, humans remain critical for designing, testing and deploying solutions.

Philippine IT and professional services employment remain on trend



Source: CEIC

Conclusion

The evidence so far suggests that AI is reshaping the composition of services exports and employment in India and the Philippines, but not yet causing a broad-based decline in exports or jobs. The bigger story is one of upgrading, with growth increasingly concentrated in higher-skilled, more technology-intensive activities.

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Article | 10 September 2026

COMMODITIES, FOOD & AGRI

Tariff uncertainty tests copper's record rally

Copper has fallen sharply from a fresh record after Reuters reported that a US decision on refined copper tariffs has not yet been made. The move shows how a growing tariff premium has pushed prices ahead of current fundamentals



Copper's reversal highlights the gap between prices and fundamentals

Copper fell more than 3% on Thursday after hitting a record \$14,875/t on the London Metal Exchange earlier in the session.

The sell-off followed a [Reuters report](#) that the White House has yet to decide whether to impose tariffs on refined copper. Officials are weighing support for domestic production against the risk of higher costs for US manufacturers.

Until now, the market had largely assumed that tariffs would go ahead. The latest news has challenged that view and taken some of the tariff premium out of copper prices.

Tariff premium drives prices higher

Refined copper was excluded from the 50% tariffs imposed last year on certain semi-finished and derivative copper products.

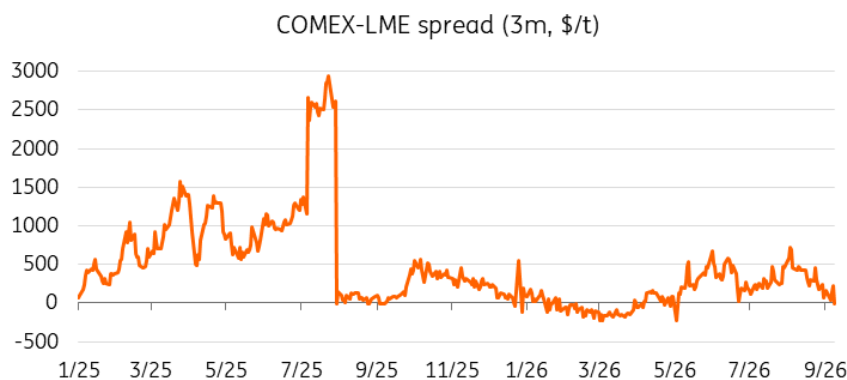
The Commerce Department was due to update the president by the end of June on whether

refined copper should face a 15% tariff from January 2027, rising to 30% in 2028. No decision has been announced.

The prospect of tariffs pushed COMEX prices above the LME, opening a profitable import window. Traders moved more copper to the US to take advantage of the price gap.

But the tariff premium has not been limited to the US. The movement of metal into American warehouses reduced availability elsewhere, helping to lift LME prices.

US tariff premium drives copper higher



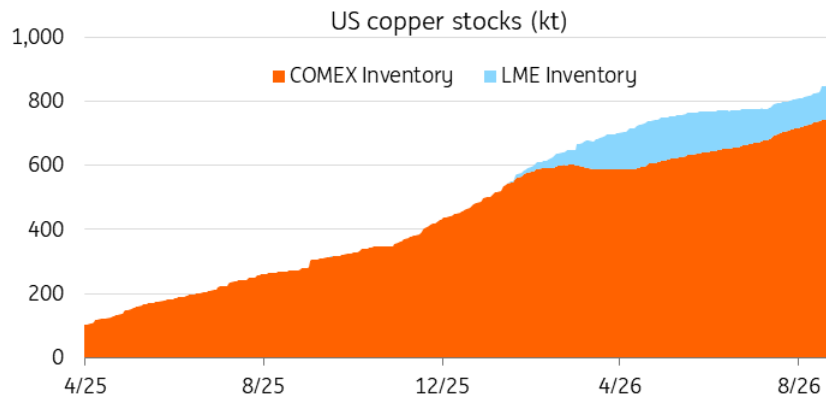
Source: COMEX, LME, ING Research

Copper piles up in the US

July inflows topped 220,000 tonnes, setting a monthly record. By early September, COMEX warehouses held around 680,000 metric tonnes – roughly eight times the volume recorded at the beginning of 2025. Market estimates put total US holdings above one million tonnes once copper outside the exchange system is included.

This has left the US well supplied while inventories available elsewhere have fallen. If the tariff premium between New York and London narrows, shipping more metal to the US will become less attractive. Some stocks could eventually return to international markets.

Copper inventories shift to the US



Source: COMEX, LME, ING Research

Prices run ahead of fundamentals

Copper's longer-term fundamentals remain supportive. ICSG data show that mined output was 1.1% lower year-on-year in the first half. Without a stronger recovery during the remainder of 2026, this would be the first annual contraction in mine supply since 2017.

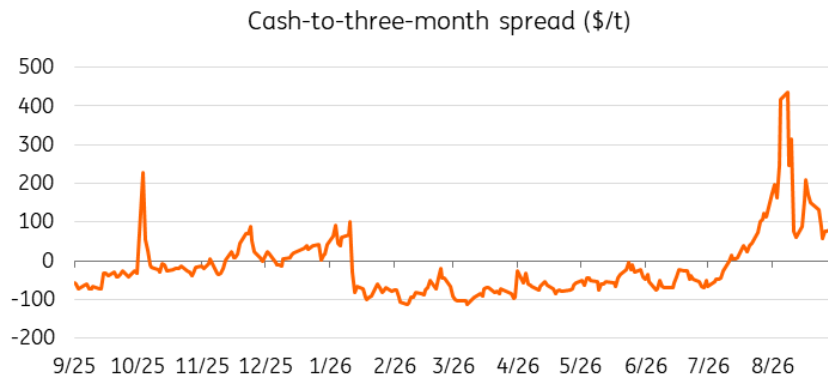
Falling ore grades and long project development times will continue to constrain supply, while demand from power grids, electric vehicles and data centres remains strong.

However, the refined market is not yet facing an outright shortage. Refined production rose 2.4% in the first half, leaving a preliminary surplus of around 131,000 tonnes, according to ICSG.

Some indicators of immediate tightness have also eased. LME inventories have stabilised this month, while pressure at the front of the LME curve has eased. Although cash copper still trades above the three-month contract, the backwardation has narrowed considerably from its August peak. Nearby supply remains tight, but conditions are less stretched than they were last month.

These signals suggest that the move towards \$15,000/t had run ahead of current fundamentals.

LME copper backwardation eases from August peak



Source: LME, ING Research

Tariff decision remains key

Either way, the arbitrage will eventually close. If tariffs are ruled out, the US premium should narrow and some metal could return to international markets. If they go ahead, imports could rise again before the duties take effect, but should slow afterwards.

Copper's longer-term outlook remains positive. But the latest reversal shows that prices remain vulnerable to any further weakening in tariff expectations.

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